EXECUTIVE SUMMARY

A. Introduction:

The Municipality of Solana was founded on August 18, 1952 and named after then Governor Antonio Urbiztondo Marquez dela Solana. It is a first class municipality covering an area of 277.22 square kilometers with 38 barangays and with about 86,051 inhabitants. The Municipality is surrounded by the following: on the east by the magical Cagayan River, bounded on the north by the Municipality of Amulung, on the south by the Municipality of Enrile, on the southwest by the Province of Kalinga and on the northwest by the Municipalities of Piat and Tuao.

Financial, compliance, and performance audit were conducted on the accounts and operations of the LGU Solana, Cagayan for the calendar year 2019. The audit objectives were to ascertain the propriety of the disbursements, the reliability of the financial reports, the adequacy of accounting records, compliance with laws, rules, and regulations, as well as adherence to prescribed policies and procedures. Likewise, the audit was conducted to determine whether plans, programs, activities and projects for the year were attained in an efficient, economic and effective manner.

B. Highlights of Financial Information:

The financial condition and results of operations of LGU-Solana, Cagayan for CY 2019 with comparative figures for CY 2018 are as follows:

	2019	**2018**	**Increase/(Decrease)**
Assets	785,590,156.37	735,857,419.85	49,732,736.52
Liabilities	251,340,314.10	304,400,909.43	(53,060,595.33)
Government Equity	534,249,842.27	431,456,510.42	102,793,331.85
Income	381,767,847.74	272,396,598.80	109,371,248.94
Expense	213,068,775.71	181,085,168.11	31,983,607.60
Appropriation	289,053,585.88	242,412,434.02	46,641,151.86
Obligation	248,740,351.95	202,410,575.72	46,329,776.23

The funds received by the LGU and transferred to other agencies and non-government and people's organizations for CY 2019 with comparative figures for CY 2018 are shown below:

	2019	**2018**	**Increase/(Decrease)**
Funds Received from Other Agencies:			
NGAs	P133,054,583.28	P91,169,467.81	P 41,885,115.47
LGUs	4,957,963.40	1,221,044.40	3,736,919.00
NGOs/POs	0.00	0.00	0.00
Others	0.00	0.00	0.00
Total	**P138,012,546.68**	**P92,390,512.21**	**P45,622,034.47**

	2019	2018	Increase/(Decrease)
Funds Transferred to Other Agencies:			
NGAs	0.00	0.00	0.00
LGUs	496,574.00	3,440,000.00	(2,943,426.00)
NGOs/POs	0.00	0.00	0.00
Others	0.00	0.00	0.00
Total	**P496,574.00**	**3,440,000.00**	**(P2,943,426.00)**

C. Independent Auditor's Report on the Financial Statements:

The Auditor rendered an **unmodified opinion** on the fairness of the presentation of the financial statements of the LGU Solana, Cagayan as of December 31, 2019.

D. Summary of Significant Audit Observations and Recommendations:

1. **Cash advances were not liquidated immediately after the accomplishment of their intended purposes, which is contrary to the provisions of Section 89 of Presidential Decree No. 1445 and COA Circular No. 97-002, thus resulted in the accumulation of unliquidated cash advances totaling P34,630.00 as of December 31, 2019.**

   We recommended that the Management compel the concerned employees to immediately liquidate their cash advances to strictly comply with Section 89 of PD No. 1445 and COA Circular No. 97-002.

2. **The New Municipal Hall and the public market were not insured with the General Insurance Fund of the GSIS in violation of Section 11 of RA 656, otherwise known as Property Insurance Law, and Section 1.2 of Commission on Audit Circular No. 92-390, which resulted to inadequate protection coverage in case of loss or damage.**

   We recommended that the Management insure all government properties with the General Insurance Fund of the GSIS pursuant to Section 11 of RA No. 656 and COA Circular No. 92-390 dated November 17, 1992.

3. **Acquired lands, with a total area of 13,106.50 square meters, and total net book value of P1,048,888.69, were not yet titled in the name of the Municipality, which is not in accord with Section 39 of Presidential Decree (PD) No. 1445, thus the absolute title over the properties were not yet transferred to the Municipality.**

   We recommended that the Local Chief Executive require the General Service Officer to undertake the titling of the lots in the name of the Municipality in accord with Section 39 of PD No. 1445 and to establish ownership in the name of the LGU.

4. **Contractor's All Risk Insurance (CARI) was no longer required by the Bids and Awards Committee even if the same is stipulated in the General Conditions of**

the Contract of the Philippine Bidding Documents for Infrastructure Projects, hence, the contractor's risk was not properly covered and readily enforceable.

We recommended the Bids and Awards Committee (BAC) include in the bidding documents for the procurement of infrastructure project, the Contractor's All Risk Insurance (CARI) as an additional requirement to be submitted by the winning bidder before the execution of the contract pursuant to the provisions of the General Conditions of the Contract of the Philippine Bidding Documents, 5th Edition and to ensure that the contractor's risk is properly covered and readily enforceable.

5. **Advertising and posting requirements of the Invitation to Bid, Notice of Award, Notice to Proceed and the approved contract stipulated in the Revised IRR of RA 9184 in the procurement of infrastructure projects were not religiously followed, thus defeating the intention of the aforementioned law institutionalizing transparency and accountability in the procurement process and in the implementation of procurement contracts.**

   We recommended that the Head of the Procuring Entity require the BAC, through its Secretariat, to truthfully post every Invitation to Bid, Notice of Award, the Notice of Proceed and the approved contract within the required media and within the specified required time for wider bid opportunities of private contracting parties and for timely information to public of the results of the procurement. This is also in compliance with the regulations contained in the Revised IRR of RA 9184.

6. **Contract agreements together with the contract documents were not submitted to the Office of the Auditor within the required time of five (5) working days from the execution of the contracts as required under COA Circular 2009-001 dated February 12, 2009.**

   We recommended that the Local Chief Executive require the Bids and Awards Committee (BAC) Secretariat, to submit to the Office of the Auditor all perfected contract agreements together with the supporting documents within the required period.

7. **The Retention money were invariably computed from the contract billings for the Construction of the New Municipal Hall Building, which is not in accord with Section 6.1 of Annex E of the Revised IRR of RA 9184, and which is disadvantageous to the LGU.**

   We recommended that the Management strictly follow the regulation on the ten percent (10%) retention money embodied in Section 6.1 of Annex E of the Revised IRR.

E. Summary of Total Suspensions, Disallowances, and Charges:

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions:					
Prior Years	P17,378,943.64	P 0.00	P 0.00	P17,378,943.64	0.00%
Current Year	0.00	0.00	0.00	0.00	0.00%
Total	**P17,378,943.64**	**P 0.00**	**P 0.00**	**P17,378,943.64**	**0.00%**
Disallowances:					
Prior Years	P873,125.34	P 0.00	P373,549.32	P499,576.02	42.78%
Current Year		0.00	0.00	0.00	0.00%
Total	**P873,125.34**	**P 0.00**	**P373,549.32**	**P499,576.02**	**42.78%**
Charges:					
Prior Years	P 0.00	P 0.00	P 0.00	P 0.00	0.00%
Current Year	0.00	0.00	0.00	0.00	0.00%
Total	**P 0.00**	**P 0.00**	**P 0.00**	**P 0.00**	**0.00%**

F. Status of Implementation of Prior Years' Audit Recommendations:

Of the 20 prior years' audit recommendations embodied in the 2018 Annual Audit Report, 13 were fully implemented, six (6) were partially implemented and one (1) was not implemented.